

Before the

**U.S. COPYRIGHT OFFICE
LIBRARY OF CONGRESS**

In the Matter of Section 1201 Study

Docket No. 2015-8

Comments of the Institute of Scrap Recycling Industries, Inc.

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Petitioner Institute of Scrap Recycling Industries, Inc. (“ISRI”) submits this comment in response to the Copyright Office’s Section 1201 Study: Notice and Request for Public Comment.

ISRI is a Washington, DC-based trade association representing more than 1,600 companies—ranging from small, family-owned businesses to large, multi-national corporations—operating at more than 3,500 facilities in the United States and 34 countries worldwide. ISRI members are manufacturers and processors, brokers, and industrial consumers of scrap commodities, including ferrous and nonferrous metals, paper, electronics, rubber, plastics, glass, and textiles.

As detailed in its recent triennial petition, comments, and reply comments, ISRI members have suffered years of adverse effects from the DMCA restricting their ability to make noninfringing uses of phones and tablets they have legally acquired and seek to recycle to new owners. After the Copyright Office significantly narrowed the phone unlocking exemption in 2012, ISRI was forced to advocate for Congressional intervention to help ensure its members could continue their socially beneficial, noninfringing business practices. And although ISRI’s petition in the 2015 proceeding resulted in an exemption, ISRI had to expend significant resources to meet unnecessarily strict and burdensome requirements that are neither required by law nor supported by the legislative history of the DMCA, all to maintain (over minimal opposition) an exemption that had been granted several times before and recently restored by the Unlocking Consumer Choice and Wireless Competition Act.

Even after securing the current 3-year exemption, ISRI faces the prospect of expending more time, effort and, resources in 2018 to fight this fight once more, with little certainty that it will again be successful and its members will be able to continue their noninfringing activities without fear of DMCA liability. Perhaps worse, because the exemption will likely mitigate the adverse impacts ISRI members otherwise would suffer without it, it may actually be *harder* to meet these high burdens in 2018.

ISRI therefore submits these comments requesting that the Copyright Office reform the § 1201 exemption rulemaking process in several ways, including the addition of a presumption of renewability, and recommend that Congress make additional reforms, including permitting exemptions to be applied to the anti-trafficking provisions of the DMCA.

ISRI and DMCA § 1201

For over a decade, ISRI and its members have been adversely affected by the anti-circumvention provisions of § 1201 and the unnecessary complexity, uncertainty, and cost of the triennial rulemaking process. The Copyright Office has considered and granted exemptions for mobile device unlocking in each of the last four rulemakings. Yet in each of the previous three § 1201 rulemakings the Register recommended and the Librarian adopted increasingly narrow exemptions for mobile device unlocking. This culminated in the severely limited exemption

adopted in 2012, which applied only to “legacy phones” and devices purchased within 90 days after the effective date of the exemption.¹

ISRI’s members were particularly impacted by this narrow 2012 exemption. They were uncertain how the exemption applied to the measures they used to unlock devices they lawfully acquired, and how they might remedy the situation. ISRI stepped in to help organize these uncoordinated efforts and had to expend significant time and resources to develop a new policy focus for itself and its hundreds of members to seek the relief they needed to continue to make legitimate, noninfringing uses of used phones for the next three years. Yet even with this new policy, there was no way—absent a revised exemption or legislative action—to ensure that recyclers of used phones would be able to continue to rely on wireless carriers or themselves to unlock used mobile devices for their customers without fear of DMCA liability.

ISRI’s fears were well-founded. As ISRI demonstrated in the last rulemaking, at least one of ISRI’s members reported that a wireless carrier stopped providing unlock codes in bulk after the Copyright Office narrowed the phone unlocking exemption in 2012:

Another recycler, HOB International, Inc., reports that the company previously worked with two carriers to gain unlocking of mobile devices. After the 2012 exemption, one carrier refused to continue unlocking HOB International’s used mobile devices for resale. Because those devices remained locked to a particular carrier, HOB International found that prices for mobile devices dropped \$25 across the board, reducing the price that individual owners could receive for their used devices, harming consumers and bulk recyclers alike.²

There was significant public as well as recycler discontent with and opposition to the Copyright Office’s narrow 2012 “sunset” exemption. In response to a 2013 “We The People” petition asking that unlocking be again made legal,³ the White House announced that it

agree[d] with the 114,000+ of you who believe that consumers should be able to unlock their cell phones without risking criminal or other penalties It’s common sense, crucial for protecting consumer choice, and important for ensuring we continue to have the vibrant, competitive wireless market that delivers innovative products and solid service to meet consumers’ needs.⁴

¹ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 77 Fed. Reg. 65260, 65264 (Oct. 26, 2012) [hereinafter 2012 Final Rule], <http://copyright.gov/fedreg/2012/77fr65260.pdf>.

² Comment of ISRI on Proposed Class 11 in the Sixth Triennial Rulemaking, at 16-17 (citations omitted) [hereinafter “2015 ISRI Comment”].

³ Make Unlocking Cell Phones Legal petition (January 24, 2013), <https://petitions.whitehouse.gov/petition/make-unlocking-cell-phones-legal/1g9KhZG7>.

⁴ *Official White House Response to “It’s Time to Legalize Cell Phone Unlocking,”* <https://petitions.whitehouse.gov/response/its-time-legalize-cell-phone-unlocking>.

Most importantly the White House stated that “*the DMCA exception process is a rigid and imperfect fit for this telecommunications issue*, and we want to ensure this particular challenge for mobile competition is solved.”⁵

And the White House and Congress did just that. After sustained debate, Congress passed the Unlocking Consumer Choice and Wireless Competition Act (“Unlocking Act”),⁶ which repealed the 2012 exemption, substituted the 2010 exemption, and directed the Register to consider proposals for cell phone and other device unlocking as part of the 2015 rulemaking.⁷

But the Unlocking Act was just a band-aid, set to be removed during the 2015 triennial. Despite extensive and effective advocacy on behalf of the Unlocking Act, ISRI and other consumer groups were forced to reengage with the admittedly “rigid and imperfect fit”⁸ of the DMCA triennial process to seek a new exemption for their noninfringing unlocking activities. This meant that more pressing issues facing ISRI and its members—including export restrictions, device theft, and device safety—had to be relegated to lower priorities so that it could mount its best effort to convince the Copyright Office to grant the latest unlocking request.

Last year, ISRI submitted a comment to the Copyright Office demonstrating that unlocking mobile devices is a noninfringing use under each of the Copyright Office’s criteria for a § 1201 exemption. ISRI then submitted a reply comment addressing the concerns of TracFone, the only entity that opposed ISRI’s and other similar comments regarding mobile device unlocking. Finally, ISRI and its counsel testified at the DMCA hearing in Washington, D.C. in late May 2015.

While ISRI was pleased that the Copyright Office ultimately granted its proposed exemption, ISRI urges the Copyright Office to modify the § 1201 process to reduce the substantial burden on proponents of DMCA exemptions. The DMCA did not intend such repeated and sustained burden and investment of resources to continue an already justified and well-warranted circumvention of TPMs. And unless the triennial rulemaking process is significantly changed, the DMCA will continue to substantially burden ISRI, its members, and other proponents of a § 1201 exemption.

First, the Copyright Office should focus its assessment on *copyright* interests during the triennial rulemaking process. As discussed more thoroughly below in response to NOI Question 2, there is no legitimate reason why proponents of an exemption to copyright law should have to rebut *non-copyright* concerns. Indeed, ISRI spent significant time and resources rebutting TracFone’s reply comment, which was principally focused on protecting its lock-in business

⁵ *Id.* (emphasis added).

⁶ Pub. L. No. 113-144, 128 Stat. 1751 (Aug. 1, 2014); *see also* Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 79 Fed. Reg. 55687 (Sept. 17, 2014) [hereinafter 2014 NOI] at 55689 n.8 (“Congress enacted the Unlocking Act after public calls for a broader exemption than that provided in the 2012 rule.”).

⁷ Unlocking Act § 2(a); *see also* 2014 NOI at 55688-89.

⁸ *Official White House Response to “It’s Time to Legalize Cell Phone Unlocking,”* <https://petitions.whitehouse.gov/response/its-time-legalize-cell-phone-unlocking>.

model, a non-copyright concern. Proponents should not be burdened by the need to address concerns that do not arise under U.S. copyright law. In fact, no one should need to secure an exemption under § 1201 where their circumvention does not infringe copyright or serves an infringing activity.

Additionally, many would-be proponents of a DMCA exception do not have sufficient resources—including counsel—to submit a persuasive comment to the Copyright Office. Indeed, many proponents are either unassisted or submit short comments that may not meet the requirements of the Register. This is in part due to the substantial evidentiary and legal showing required by the Copyright Office as part of the triennial process, which, as detailed below, is not required by the statute. While ISRI was fortunate to have pro bono counsel for its most recent exemption request, the limited number of law school clinics and other low-cost counsel resources are insufficient to meet the needs of every proponent of a § 1201 exemption.

Question 2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

Section 1201 should not be used to protect non-copyright concerns or deny an otherwise legitimate § 1201 exemption where the use is not made for the purpose of violating copyright law. There is no language in § 1201 itself, and no indication in any legislative history, that the DMCA’s anticircumvention provisions were meant to address non-copyright issues such as health, safety, environmental, competitive or business-model concerns. To the contrary, the DMCA was explicitly enacted to protect and promote copyrighted content in the digital age. In line with the then-recently-signed WIPO treaties, the DMCA sought to provide “‘adequate legal protection’ and ‘effective legal remedies’ against circumvention of certain technologies that copyright owners use to protect their works, and against violation of the integrity of copyright management information.”⁹ In signing the DMCA into law, President Clinton proclaimed that “[t]hrough enactment of the Digital Millennium Copyright Act, we have done our best *to protect from digital piracy* the copyright industries that comprise the leading export of the United States.”¹⁰

The Copyright Office itself has previously affirmed that non-copyright concerns have no place in the § 1201 process where a proponent demonstrates a legitimate noninfringing use. The Register articulated this point in her 2010 recommendation:

The Register appreciates that other administrative agencies also have jurisdiction on potential issues relating to the iPhone, smartphones, and other mobile phone and data services. *However, the focus in this rulemaking is limited to actual or likely adverse effects on noninfringing uses of copyrighted works. No other agency has delegated authority to temporarily limit the application of the*

⁹ President Bill Clinton, *Statement on Signing the Digital Millennium Copyright Act*, (Oct 28, 1998), <http://www.presidency.ucsb.edu/ws/?pid=55169>

¹⁰ *Id.* (emphasis added).

prohibition on circumvention. This prohibition was established to provide legal support for, and foster the availability of, copyrighted works in the digital environment.¹¹

The Register has often correctly rejected these non-copyright concerns. For instance, in the 2015 rulemaking, the Copyright Office rejected the arguments of TracFone—the only opponent to cell phone unlocking—that § 1201 should protect its business model even though that interest has no connection to core copyright concerns. As ISRI noted, TracFone “explicitly state[d] that it opposes the proposed phone unlocking exemptions because they ‘could be interpreted to provide loopholes for traffickers intending to steal the subsidies offered by providers like TracFone and thus imperil TracFone’s ability to offer subsidized phones to consumers.’”¹² ISRI further explained:

TracFone’s position would create the disturbing result that breaking a TPM to unlock one’s phone does not violate copyright law unless it prevents the wireless provider from making its expected profit on that phone. TracFone should be and is able to enforce its business models and recover its subsidies through a variety of other legal tools, including contracts, early termination fees, and, where necessary, lawsuits raising a variety of other legal claims. But not through misusing copyright law.¹³

This was not the only time the Register rejected an attempt to use § 1201 to protect a non-core copyright concern such as a business model. The Register’s 2010 recommendation could not have been more clear:

[T]he primary purpose of the locks is to keep consumers bound to their existing networks, rather than to protect the rights of copyright owners in their capacity as copyright owners *Because there appear to be no copyright-based reasons why circumvention under these circumstances should not be permitted*, the Register recommends that the Librarian designate a class of works similar to the class designated in 2006. The designated classes, both [2006 and 2009], simply reflect a conclusion that unlocking a mobile phone to be used on another wireless network does not ordinarily constitute copyright infringement and that Section

¹¹ Recommendation of the Register of Copyrights in RM 2008-8, Rulemaking on Exemptions from Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 103 (June 11, 2010), <http://www.copyright.gov/1201/2010/initial-registers-recommendation-june-11-2010.pdf> (emphasis added) [hereinafter 2010 Recommendation].

¹² TracFone, Long Comment Regarding a Proposed Exemption Under 17 U.S.C. 1201, http://copyright.gov/1201/2015/comments-032715/class%2011/TracFone_Wireless_class11_1201_2014.pdf, 7.

¹³ Reply Comment of ISRI on Proposed Class 11 in the Sixth Triennial Rulemaking, at 4 [hereinafter “2015 ISRI Reply Comment”].

1201(a)(1), a statute intended to protect copyright interests, should not be used to prevent mobile phone owners from engaging in such noninfringing activity.¹⁴

Likewise, in the 2006 Final Rule the Librarian emphasized the non-copyright purposes of handset locks, technology protection measures (“TPMs”) that have “nothing whatsoever to do with the interests protected by copyright,” finding that a user who unlocks a wireless handset to connect is not

engaging in copyright infringement or in an activity that in any way implicates copyright infringement or the interests of the copyright holder [and that] the access controls do not appear to actually be deployed in order to protect the interests of the copyright owner or the value or integrity of the copyrighted work; rather, they are used by wireless carriers to limit the ability of subscribers to switch to other carriers, *a business decision that has nothing whatsoever to do with the interests protected by copyright*.¹⁵

And importantly, when the Copyright Office greatly narrowed the exemption for cellphone unlocking in 2012, Congress and President Obama stepped in to right a copyright wrong by passing the Unlocking Consumer Choice and Wireless Competition Act (“Unlocking Act”). In signing the Act, President Obama commended Congress for taking steps “to ensure copyright law does not undermine wireless competition.”¹⁶

The Register, however, does not always reject these non-copyright concerns. For instance, in the most recent triennial, opponents of the vehicle repair exemption claimed that “the use of TPMs has played a role in effectuating compliance”¹⁷ with federal and state *safety and environmental laws*. But federal and state agencies—and others—should not rely on copyright law to enforce other laws unrelated to copyright. As the Register noted, “opponents [of the exemption] recognize that the non-copyright factors that they identify have not played a significant role in the Register’s consideration of proposed exemptions in prior rulemakings. But, they urge that the instant exemption is different because of its potential to impact the highly regulated automotive sector directly.”¹⁸ However, in so doing, the opponents *admit* theirs is a highly regulated sector.

¹⁴ 2010 Recommendation at 152-153 (emphasis added).

¹⁵ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 71 Fed. Reg. 68472, 68476 (Nov. 27, 2006) (codified at 37 C.F.R. 201) [hereinafter 2006 Final Rule], <http://www.copyright.gov/fedreg/2006/71fr68472.pdf> (emphasis added).

¹⁶ Office of the Press Secretary, Statement from the President on Unlocking Consumer Choice and Wireless Competition Act, WHITEHOUSE.GOV (July 25, 2014), <http://www.whitehouse.gov/the-press-office/2014/07/25/statement-president-unlocking-consumer-choice-and-wireless-competition-a>.

¹⁷ 2015 Recommendation at 242.

¹⁸ 2015 Recommendation at 234.

This demonstrates that the automotive sector and other similar agencies have the authority and legal capability to independently deal with the supposed health and safety effects of circumvention. Indeed, the Register found that the opponents of the exemption actually *admitted* “that both state and federal regulatory regimes are designed to prevent many of the activities that would fall within the exemption. In particular, they point out that commercial providers are prohibited from knowingly modifying vehicles to take them out of compliance with emissions and safety standards.”¹⁹

In discussing these concerns, the Register agreed that “proponents [of the exemption] also point out with some force that such issues are relatively remote from the copyright interests that are at the heart of § 1201— namely, the ability to protect, disseminate and enjoy creative works in the digital age.”²⁰ The Register further acknowledged that “this rulemaking is principally focused on the copyright concerns implicated by any proposed exemption.”²¹ Nevertheless, the Register responded that “section 1201(a)(1) calls for consideration of ‘such other factors as the Librarian considers appropriate,’ and, while acknowledging NTIA’s views, the Register believes it would be inappropriate simply to disregard other agencies’ concerns regarding the possible negative impacts of the exemption on their respective regulatory and enforcement efforts.”²²

And while, despite concerns from the EPA and other non-copyright agencies, the Register ultimately recommended a vehicle repair exemption because “safety and environmental concerns have a tenuous nexus to copyright protection,”²³ it did not do so unequivocally. The Register also recommended “a delay of twelve months before the exemption goes into effect to allow other agencies with expertise in vehicle safety, environmental issues, and other relevant areas an opportunity to consider and react to the new rule.” This delay, while better than a denial, remains problematic.

ISRI recognizes that using TPMs for safety and health concerns is qualitatively different than doing so simply to protect a business model, as is the case with cell phone carriers’ use of § 1201. Yet what is even more important than the qualitative differences is what these uses have in common—they are not core copyright concerns. The federal government’s protection of our health and safety is of critical importance. But that is a job for another federal agency, not the Copyright Office.

The final factor of § 1201(a)(1) must not be used to hijack a process the Register admits is primarily intended to protect the “heart” of § 1201: “the ability to protect, disseminate and

¹⁹ 2015 Recommendation at 233.

²⁰ Recommendation of the Register of Copyrights, Section 1201 Rulemaking Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention 242 (Oct. 8, 2015) <http://copyright.gov/1201/2015/registers-recommendation.pdf> [hereinafter 2015 Recommendation].

²¹ 2015 Recommendation at 248.

²² 2015 Recommendation at 248.

²³ U.S. COPYRIGHT OFFICE, *Understanding the Section 1201 Rulemaking*, at 7 (last visited Mar. 1, 2016), http://copyright.gov/1201/2015/2015_1201_FAQ_final.pdf.

enjoy creative works in the digital age.”²⁴ It is more “inappropriate” to attempt to address the non-copyright concerns of other agencies under the guise of copyright protection than it is to leave it to those agencies to address their concerns through more appropriate venues. The language of the fifth factor of § 1201(a)(1) does not obligate the Librarian to consider non-copyright interests. If the realm of “appropriate” considerations is expanded to encompass the concerns of *any* other agency, the fifth factor does not merely escape the bounds of copyright—it becomes essentially boundless, drastically increasing the burden on the Copyright Office, proponents, commenters, and innovators, while utterly failing to further the purpose of the law.

The Librarian can—and should—consider non-copyright interests to be inappropriate factors in evaluating exemptions to DMCA liability in the triennial rulemaking process. The Librarian has discretion regarding what he or she considers “appropriate,” but this discretion should not be used to expand the scope of the proceeding in such a high-unlimited manner. Instead, it should be used to reinforce the fact that the Copyright Office deals with: copyright issues.

To the extent the Register and Librarian nevertheless choose to continue to consider non-copyright concerns as part of the § 1201 analysis, ISRI urges the Copyright Office at least to continue the practice it demonstrated in the most recent proceeding of not allowing non-copyright concerns to lead to the denial or delay of a legitimate, copyright-based exemption to § 1201. At most, delays for other agencies to consider issues that relate not to copyright, but to possible misuse of software or property, should be as short as possible and used only as a temporary tool. If the Copyright Office ceases to consider these issues, then agencies or other parties with actual responsibility for any genuine safety or health concerns can take timely enforcement or regulatory action, or can bring the concerns directly to Congress for further needed authority. Rather than misusing these concerns to try to block lawful, noninfringing uses of copyrighted works, and the Copyright Office will cease being a venue for boundary-free policymaking through copyright enforcement. The Register should grant any such time extensions only if absolutely necessary *and* only for those concerns that are not already addressed by other agencies. For instance, now that the Librarian has granted an exemption for vehicle repair, the EPA and other relevant agencies should hereafter deal with any health and safety concerns using the tools available to them.

Question 3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

The Copyright Office should discard its mistaken requirement of de novo review for previously granted exemptions in each subsequent § 1201 rulemaking, should provide for presumptive renewal of granted exceptions, and should shift the burden of justifying non-renewal to any opponents of that renewal rather than requiring proponents to repeatedly establish the need for continuation of their exemption. Eliminating the de novo requirement would vastly reduce much of the unnecessary burden on proponents to reestablish the evidentiary and legal

²⁴ 2015 Recommendation at 242.

justifications for their exemptions every three years, as well as the burden on the office to review ever-expanding records for already-granted exceptions. Presumptive renewal is consistent with the overall purpose and intent of the rulemaking process. ISRI submits that the Copyright Office currently possesses the authority to make such a change without legislative action, but if it continues to conclude that it does not, urges it to recommend such changes to Congress and to support their adoption.

The existing § 1201 process, with its *de novo* review and requirements for substantial evidentiary showings even for exemptions which have been granted repeatedly and which lack significant opposition, place a substantial burden on any party who would take on the socially beneficial task of requesting an exemption. As explained above, ISRI and others seeking DMCA exemptions for lawful owners of phones and tablets, seeking to unlock their own devices, have been expending resources seeking and obtaining nearly the same exemption for over a decade. Others, such as the American Foundation for the Blind, have been requesting exemptions since the second proceeding, having to proceed through all the complicated requirements of the process each time even in the face of little or no opposition.

Each of these successive proceedings requires parties—be they trade associations, nonprofits operating on a shoestring, groups of researchers or repair advocates, or individual entrepreneurs—to pour significant resources, including employee time and outside counsel hours, into developing a brand new factual and legal records every three years. If nothing changes as a result of the current NOI Study proceeding, each proponent from 2015 will be forced to spend that time and money again in 2018, abandon their otherwise lawful uses of copyrighted works, or go back to operating in the shadow of potentially violating the DMCA without infringing copyright. Eliminating the *de novo* approach, adding presumptive renewal, and shifting the burden to opponents of renewals in future § 1201 proceedings would reduce the waste currently imposed on the proponents and the Copyright Office, while still allowing the Office to properly evaluate new exemptions and, when and if opponents demonstrate that relevant facts have actually changed, reevaluate old ones.

No congressional action is needed to make these changes. In § 1201(a)(1)(C), Congress outlined the rulemaking proceeding only in very broad strokes and delegated the rest of its authority to the Register of Copyrights and to a lesser extent, the Assistant Secretary for Communications and Information of the Department of Commerce. There is no mention at all of any presumptions or any *de novo* review. As a result, the Copyright Office is not bound by any relevant Congressional mandate when it amends the presumption requirements.

The Register has previously stated her belief that legislative history precludes reliance on presumptive renewal in the rulemaking proceeding. For instance, in the most recent Notice of Inquiry, the Office again asserted that “Congress made clear that the basis for an exemption must be established *de novo* in each triennial proceeding.”²⁵ In fact, however, Congress did no such

²⁵ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 79 Fed. Reg. 55687, 55689 (Sept. 17, 2014) (codified at 37 C.F.R. 201) [hereinafter 2015 Notice of Inquiry].

thing. Instead, a *de novo* requirement can be found in only one piece of legislative history, the House Commerce Committee Report:

The rulemaking will be repeated on a biennial basis, and on each occasion, the assessment of adverse impacts on particular categories of works is to be determined *de novo*. The regulatory prohibition is presumed to apply to any and all kinds of works, including those as to which a waiver of applicability was previously in effect, unless, and until, the Secretary makes a new determination that the adverse impact criteria have been met with respect to a particular class and therefore issues a new waiver. In conducting the rulemaking proceeding, the Secretary must consult closely with the National Telecommunications and Information Administration, as well as with the Patent and Trademark Office and the Register of Copyrights.²⁶

However, after this Report, the rulemaking section of the statute described in the Report underwent so many substantive changes that there simply is no basis for giving the Report's mention of *de novo* review any weight whatsoever. For instance, the Commerce Committee version would have mandated the rulemaking proceeding to happen every two years, instead of three. Four agencies would have been involved, instead of two. Moreover, the Register of Copyrights would not even have been the leading entity in the rulemaking process: the Secretary of Commerce would.

Most importantly, the Senate-House Conference report that accompanied the enacted version of the bill does not mention any *de novo* requirement at all.²⁷ Given the significance of the various substantive changes and the subsequent silence on the renewal issue, the Register's reliance on this isolated bit of language is misplaced and ill-advised. The Copyright Office should reconsider its prior positions and conclude that it is legally free to prudently change course on this issue and proceed to recognize that there is no statutory prohibition on its ability to institute presumptive renewal.

Last but not least, the *de novo* requirement creates a paradox for those seeking exemptions. Where an exemption successfully mitigates the harm, then petitioners likely will have more difficulty in pointing to the adverse impacts during the next proceeding. As one professor eloquently puts it, "the very success of the exemption in preventing harm to noninfringing uses will weigh against its renewal."²⁸ This Catch-22 could not possibly have been

²⁶ H.R. Rep. 105-551 (ii), at 37.

²⁷ See H.R. Conf. Rep. 105-796 at 64. "The determination will be made in a rulemaking proceeding on the record. It is the intention of the conferees that, as is typical with other rulemaking under title 17, and in recognition of the expertise of the Copyright Office, the Register of Copyrights will conduct the rulemaking, including providing notice of the rulemaking, seeking comments from the public, consulting with the Assistant Secretary for Communications and Information of the Department of Commerce and any other agencies that are deemed appropriate, and recommending final regulations in the report to the Librarian."

²⁸ Aaron K. Perzanowski, *Evolving Standards & the Future of the DMCA Anticircumvention Rulemaking*, 10 J. OF INTERNET L. 1, 25 (Apr. 2007)..

what Congress intended when it created the “fail-safe mechanism” of exceptions for noninfringing uses.²⁹ The current process not only places all the initial burden on the proponents, who often have less resources to start with, but also increases the burden over time because what was sufficient last time will be by default insufficient next time as, at a bare minimum, proponents have to prove that the “conditions that led to the adoption of the prior exemption continue to exist today”³⁰ and provide “a new showing of ongoing harm.”³¹ For instance, in 2010, the Register recommended against renewing the e-book exemption because, as one commentator has noted, “petitioners based their proposal for renewal on their previous submissions in the 2003 and 2006 Rulemakings, although the situation with e-books had not significantly changed since 2002.”³²

To avoid this paradox and the undue and unnecessary burden of parties seeking the continuance of their previously granted exemption, the Office should shift the burden to opponents of renewal to establish by substantial evidence that the exemption is no longer warranted.

Question 4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

The current legal and evidentiary requirements the Office has imposed on proponents of an exemption to demonstrate entitlement to an exemption are unnecessary, unduly burdensome, and not required by the statutory language of the DMCA, the legislative intent behind the rulemaking sections of the Act, or traditional principles of administrative law. Proponents should not have to produce evidence and justification on all the points currently required or to satisfy the heightened burden of demonstrating substantial adverse impacts. Specifically, the Register of Copyright should abolish the mere inconvenience threshold and stop requiring proponents to demonstrate a lack of *any* viable alternatives. Instead, proponents should only need to prove that there are or likely will be actual adverse impacts on noninfringing uses due to the prohibition on circumvention. Anything more goes beyond what the statute requires.

Under the current rule, proponents bear the burden of proof in the § 1201 proceeding. They have to prove “by a preponderance of evidence” that the uses are or are likely to be noninfringing and that these uses are adversely affected or will “likely” be affected by the § 1201 ban on access circumvention.³³ In proving existing adverse affects, proponents have to prove that a “*substantial* diminution” (emphasis added) of the availability of works for noninfringing uses by demonstrating “distinct, verifiable and measurable impacts’ occurring in the marketplace.”³⁴

²⁹ H.R. Rep. 105-551(ii), 36.

³⁰ 2015 Notice of Inquiry, *supra* note 44, at 55690.

³¹ Perzanowski, *supra* note 52, at 25.

³² Maryna Koberidze, *The DMCA Rulemaking Mechanism: Fail or Safe?* 11 Wash. J.L. Tech. & Arts 211, 264 (2015).

³³ 2015 Notice of Inquiry at 55690.

³⁴ *Id.*

In other words, “mere inconveniences” and “individual cases” fail this burden because they are “de minimis.”³⁵ In proving future harms, proponents have to prove that future harm is “likely,” prevailing ““only in extraordinary circumstances in which the evidence of likelihood of future adverse impact during that time period is highly specific, strong, and persuasive.””³⁶

The plain language of § 1201 is unambiguous, requiring only a showing of actual or likely adverse effects on noninfringing uses.³⁷ When the text of the statute is clear, the plain meaning rule usually discourages further inquiry into legislative history. This is a classic instance of Justice Holmes’ statement that, “[w]e do not inquire what the legislature meant; we ask only what the statute means.”³⁸ Nevertheless, the standard that has been created and utilized in previous rulemakings by the Copyright Office results in a convoluted, adjudicatory (rather than rulemaking) process and imposes several additional hurdles on proponents, all of which are neither required nor justified by the statutory language.

In particular, the Office’s requirement of a *substantial* diminution and its misplaced concerns with disregarding mere inconvenience are not required by the DMCA. They are nowhere to be found in the statutory language. They also are nowhere to be found in the primary legislative history of the 1201 rulemaking provisions of the Act. Rather, support for such requirements, meager as it is, can be found in only one isolated and ultimately unpersuasive place, the House Manager’s Report.³⁹

The Manager’s Report, however, is not authoritative legislative history. The rulemaking provisions of the DMCA first appear in the Commerce Committee’s version, which “prevailed in the full House of Representatives over the Judiciary Committee’s bill and was ultimately enacted by both chambers.”⁴⁰ The House Manager’s Report was a section-by-section analysis after the Commerce Committee’s version passed the House. As Nimmer puts it, it is the “the handiwork of one legislator after the fact.”⁴¹ More importantly, the definitive Senate-House Conference Report does not rely on the Manager’s Report and does not even mention substantiality.⁴²

Nevertheless, the Register has seized on this one bit of tangential history in the Manager’s Report to formulate and then attempt to defend its imposition of a standard of

³⁵ *Id.*

³⁶ *Id.*

³⁷ 17 U.S.C. § 1201(a)(1)(B), (C) and (D) uniformly use the language “are, or are likely to be . . . adversely affected.”

³⁸ 12 HARV. L. REV. 417, 419 (1899).

³⁹ See Rep. Howard Coble, Section-by-Section Analysis of H.R. 2281 as Passed by the House of Representatives on Aug. 4, 1998 (Comm. Print 1998) at 6 [hereinafter House Manager’s Report]. (“The focus of the rulemaking proceeding” as “whether the protection on circumvention of technological measures (such as encryption or scrambling) has caused any *substantial* (emphasis added) adverse impact on the ability of users to make non-infringing uses.”)

⁴⁰ David Nimmer, Copyright: Scared Text, Technology, and the DMCA 426 (Kluwer Law International)(2003).

⁴¹ *Id.* at 466.

⁴² *Id.* at n.152.

“substantial” diminution of noninfringing uses. NTIA, the other agency responsible for the rulemaking proceeding, was quick to note that the substantiality requirement “impose[s] a significantly heightened burden on proponents.”⁴³ The Register offered a somewhat circuitous interpretation. When “[r]ead in context,” the Register asserted, this standard is “the equivalent of what the Commerce Committee Report described as a requirement of a showing of ‘distinct, verifiable, and measurable impacts.’”⁴⁴ She described substantial as “the opposite of ‘insubstantial,’” which is “another way of saying that a showing of more than ‘de minimis impacts’ is required.”⁴⁵ The Register then quoted the dictionary meaning of “substantial” and the Supreme Court’s usage of this word, and concluded:

This burden of proof is not more stringent than the statutory text, but rather is a clarification that any showing must be based on real, verifiable, and reasonable evidence. Such a showing is equally applicable to present or likely harm. Substantial evidence of likely adverse impacts is more than mere speculative or theoretical harm. It requires more than ‘mere inconveniences, or individual cases.’⁴⁶

The crux of the problem is the last sentence. The test draws no bright line between adverse effects and mere inconvenience. Nor does it provide a turning point when “individual cases” become more than isolated instances and hence indicative of a larger problem. Mere inconveniences and individual cases may seem similar to the de minimis threshold mentioned in the Commerce Committee Report,⁴⁷ but in practice there is no principled basis for drawing lines or deciding when some is enough. Thus the irony becomes that in order to overcome the supposedly low threshold of de minimis impacts, proponents have to prove both substantial harm and lack of viable alternatives—a much higher standard.

On the latter point, for example, in 2003, the Register refused to recommend the proposed class of “[a]udiovisual works store on DVDs that are not available in Region 1 DVD format and access to which is prevented by technological measures.”⁴⁸ The Register received over one hundred reply comments in support of the exemption, the “overwhelming majority” of which were submitted by “individuals who had acquired DVDs from a region outside the U.S. and then encountered difficulty in playing DVDs on devices purchased in the U.S.”⁴⁹ Commercial DVDs are often encrypted and restricted to a particular “region code” so they cannot be played on a drive that has a non-matching region code. This means that without circumventing a TPM,

⁴³ Nancy J. Victory, NTIA Letter to Register of Copyrights Regarding DMCA, <https://www.ntia.doc.gov/other-publication/2003/ntia-letter-register-copyrights-regarding-dmca> [hereinafter 2003 NTIA Letter].

⁴⁴ Marybeth Peters, Register of Copyright, Recommendation of the Register of Copyrights in RM 2002-4; Rulemaking on Exemptions from Prohibition on Circumvention of Copyright Protection System for Access Control Technologies, 16 [hereinafter 2003 Recommendation].

⁴⁵ *Id.* at 17.

⁴⁶ *Id.*

⁴⁷ See H.R. Rep. 105-551(ii), at 37.

⁴⁸ 2003 Recommendation at 120.

⁴⁹ *Id.* at 122.

the DVD owners would have to get a lower-quality VHS version of the work, reset the region code on their computers, or buy a second DVD player with a matching region code. Each solution was far less than ideal: first, VHS provided inferior quality and was becoming obsolete, as the Register recognized; second, many computer manufacturers, like Apple, restrict the number of times you can reset your region code;⁵⁰ and third, an extra external DVD player would be an otherwise unnecessary and unjustifiable investment in duplicative hardware. The Register agreed that “[i]t is uncontested that merely watching a lawfully obtained copy of a non-region 1 DVD is a noninfringing use.”⁵¹ Yet she still rejected the exemption because in her view, “[a]s long as such relatively inexpensive options remain available to those users who seek to view foreign DVDs, it does not appear that an exemption is necessary to preserve this noninfringing use.”⁵²

The reliance on requiring proof of the absence of *any* alternative reached a high point when the Register rejected the proposed class to circumvent TPMs on e-books in 2010. Since the first rule-making, the Register had consistently granted this exemption because the visually impaired need to circumvent TPMs on e-books to employ the read-aloud function and there were few, if any, opponents to the exemptions. Yet once again the Register saw the existence of alternatives, even costly and inconvenient ones, as fatal to the request:

However, as the Joint Reply Commenters pointed out, [proponent] AFB did not test all of the ebook formats in which the sampled book titles were available. For instance, AFB tested *The Imitation of Christ*, by Thomas A. Kemp is, in the Microsoft Reader LIT Format and found that work to be inaccessible whether or not Microsoft’s text-to-speech product was installed. However, the Joint Reply Commenters pointed out that the same title appeared to be available in the Adobe format with the read-aloud function enabled.⁵³

While it is true that the AFB could have presented more book titles to strengthen their case, that would remain true until they catalogued *every* available book. Moreover, the availability of “alternatives” the Register identified were far from costless to the millions of print-disabled individuals who might be affected. If extra hours of web search and investment in a new e-book reader (or several) are issues of “mere convenience” for the visually impaired, “adverse impact” is left with significantly reduced practical meaning.⁵⁴

Similarly, in the 2012 rulemaking, the Register narrowed the previous exemption for phone unlocking to apply only to used “legacy” phones and then only for a 90-day period before the exemption sunsetted.⁵⁵ The Register rejected the proponents’ requests for exemption for

⁵⁰ DVD Player: About DVD-Video Regions (Mar. 3, 2016, 7:10 PM), <https://support.apple.com/en-us/HT201705>.

⁵¹ 2003 Recommendation at 121.

⁵² *Id.* at 123.

⁵³ 2010 Recommendation at 254.

⁵⁴ Bill Herman & Oscar Gandy, Jr., *Catch 1201: A Legislative History and Context Analysis of the DMCA Exemption Proceedings*, CARDOZO ARTS & ENT. L.J., 121, 188 (2006).

⁵⁵ 2012 Final Rule, 65265-66.

newly purchased handsets, over the objection of the NTIA, on the basis that an increasing number of new unlocked phones were available for purchase. The Register adopted this narrow view of adverse impacts even though it specifically acknowledged that “not every wireless device is available unlocked, and wireless carriers’ unlocking policies are not free from all restrictions.”⁵⁶ It also rejected the NTIA’s recommendation that a broader exemption be granted because many carriers’ unlocked phone policies “apply only to current customers or subscribers, because some carriers will refuse to unlock devices, and because unlocking policies are often contingent upon the carrier’s ability to obtain the necessary code.”⁵⁷ More broadly, the Register rejected NTIA’s common-sense conclusion that it is not “an appropriate alternative for a current device owner to be required to purchase another device to switch carriers.”⁵⁸

Thus, the Copyright Office should, and has the authority to, modify the showing required to warrant a § 1201 exemption in the manner discussed above.

Question 7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the anti-trafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

Section 1201 should be amended to allow third parties to assist users to engage in their § 1201 exemption and to allow third parties to develop and offer the tools necessary to do so. An exemption that affirms a user’s right to unlock his or her phone is largely meaningless when doing so is a highly technical process for users and when third parties may face liability for assisting or developing tools to help users engage in this lawful behavior. There is no copyright-based reason why third parties should be unable to help consumers, lawfully exempted under § 1201, circumvent locks on their devices. And as we explain in response to Question 2, device manufacturers may have other reasons for why they lock their devices, and thus other reasons to prevent third-party assistance in circumventing their locks, but those concerns should be addressed elsewhere and by an entity other than the Copyright Office.

For example, consumer electronics, many of which contain TPMs, are now ubiquitous, and the continued meteoric rise of smart devices will bring more networked devices—including their device locks—to the average consumer. It should be no surprise that in 2015 over 64% of American adults owned a smartphone, up from 35% in 2011.⁵⁹ A more recent study found that 66% of Americans own at least two digital devices (smartphone, tablet, laptop), and 36% own all

⁵⁶ *Id* at 65265.

⁵⁷ *Id*.

⁵⁸ *Id*.

⁵⁹ Monica Anderson, *6 Facts About Americans and Their Smartphones*, PEWRESEARCH.ORG (Apr. 1, 2015), <http://www.pewresearch.org/fact-tank/2015/04/01/6-facts-about-americans-and-their-smartphones>.

three.⁶⁰ Similarly, while nearly every American home has a television, over 40% of American households now have a network-connected television, up from 8% in 2011.⁶¹ But there has been an explosion of smart devices beyond the obvious phone and television examples.⁶²

The average consumer is probably incapable of circumventing TPMs on his or her own, as it is often a complex, technical process, requiring custom software development and deep knowledge of software, hardware, and cryptography. Yet it is only recently that owners of smartphones and similar mobile devices have received explicit authorization, via the Unlocking Act, to seek third party assistance to unlock their devices, and it remains unlawful to traffic in the tools used to lawfully unlock these devices.⁶³ American consumers should not have to wait for Congress to authorize third-party assistance to unlock other devices where the Register recommends and the Librarian grant exemptions allowing lawful circumvention, nor should users they need to each individually develop the tools and expertise necessary to assert their rights.

Opponents of this amending § 1201 in this way may make several ultimately unpersuasive arguments. First, they may argue that third-party assistance may not even exist to unlock the various new TPMs, so granting an exemption to the anti-trafficking provision to allow for third-party assistance is fruitless. But this argument misses the point. The very reason that third-party assistance may not exist is *because of* the current limitations of § 1201. In particular, § 1201(a)(2) prohibits the mere creation of access control circumvention methods. Under this language, not only is a third party prohibited from offering unlocking services, but it cannot even provide a “self-help” guide for the user to unlock his own device. It’s no wonder that there is scant evidence of available third-party unlocking assistance, especially for non-exempt activities: third parties are likely and understandably discouraged from developing methods of circumvention for fear of liability under § 1201 and the accompanying civil and criminal penalties under §§ 1204 and 1205. One author explained this issue in the context of circumventing CSS technology (used to prevent unauthorized access to DVDs):

In many instances this asymmetry can give rise to a rather perverse result: An act of circumvention is permitted by an exemption, but the tools necessary to take advantage of that privileged use remain illegal. Film studies professors, for example, could face difficulty in legally obtaining tools to engage in the very sort of circumvention privileged by the new exemption. While DeCSS, a tool for circumventing CSS, is available on the Internet, those who make it available, even to film studies professors, risk liability for trafficking in circumvention tools.

⁶⁰ Monica Anderson, *Smartphone, Computer or Tablet? 36% of Americans Own All Three*, PEWRESEARCH.ORG (Nov. 25, 2015), <http://www.pewresearch.org/fact-tank/2015/11/25/device-ownership>.

⁶¹ STATISTA, *Number of Smart TV Households in the United States from 2011 to 2016*, (last visited Mar. 1, 2016), <http://www.statista.com/statistics/268857/number-of-smart-tv-households-in-the-us>.

⁶² See, e.g., Category: Smart Devices, WIKIPEDIA.ORG (last visited Mar. 1, 2016), https://en.wikipedia.org/wiki/Category:Smart_devices.

⁶³ Unlocking Act at §§ 2(a), (c); 37 C.F.R. § 201.40; see also 2014 NOI at 55688.

Moreover, DeCSS alone is insufficient for all but the most sophisticated users to engage in circumvention and user-friendly software tools built around DeCSS have been pulled from store shelves as a result of DMCA liability. Even if film studies professors can locate or develop such tools, they would still face liability for sharing them amongst themselves.⁶⁴

And this is no mere threat—*Universal City Studios v. Corley*⁶⁵ demonstrates that companies are willing to sue and can succeed under the § 1201 antitrafficking provisions. In this case, Corley posted a copy of the decryption program “DeCSS” on his website, and also posted links to other sites offering similar technology.⁶⁶ Eight motion picture companies sued under the DMCA, and Corley responded with several arguments, including fair use and constitutional assertions under the First Amendment.⁶⁷ The Second Circuit rejected Corley’s arguments and affirmed the District Court’s judgment.⁶⁸ Corley was enjoined from posting DeCSS on his website, as well as knowingly linking to other sites on which DeCSS was posted.⁶⁹

Consumers should not require special action by Congress, or be forced to rely on the whims of the manufacturers of their devices for assistance *lawfully* unlocking their devices. The DMCA should permit, or should allow the Copyright Office to authorize, third-party assistance and creation of tools for every § 1201 exemption the Office grants.

Conclusion

ISRI appreciates the opportunity to contribute to the Copyright Office’s study of § 1201 and the triennial rulemaking process. IRSI submits that, as the most significant copyright-related legislation after the Copyright Act of 1976, the DMCA was intended to and should always focus on copyright concerns only. The § 1201 exemption rulemaking is not an appropriate venue for weighing non-copyright concerns. The current de novo requirement is not only unwarranted by legislative history or statutory language, but has also imposed a recurrent burden on resource-constrained proponents. Additionally, the Copyright Office’s interpretation and application of the substantial impact requirement has deviated from congressional intent and the plain meaning of the statute. A substantial diminution of availability of works, through the showing of a lack of alternatives, has proven to be unrealistically burdensome to otherwise noninfringing users. ISRI therefore urges the adoption of a presumption of renewability in future rulemakings and a reduction of the burden on proponents.

⁶⁴ Aaron K. Perzanowski, *Evolving Standards & the Future of the DMCA Anticircumvention Rulemaking*, 10 J. OF INTERNET L. 1, 23 (Apr. 2007).

⁶⁵ 273 F.3d 429, 440 (2d Cir. 2001).

⁶⁶ *Id.* at 435-36.

⁶⁷ *Id.*

⁶⁸ *Id.* at 459-60.

⁶⁹ *Id.* at 434-35.